Tab 5 - Kowalewich v. Kowalewich, 2001 BCCA 450 (Page 1 of 3)

SUPREME COURT OF BRITISH COLUMBIA â Victoria No. FL-260482

CITATION: Kowalewich v. Kowalewich, 2001 BCCA 450
DATE: 20010710
DOCKET: CA027184

COURT OF APPEAL FOR BRITISH COLUMBIA

BETWEEN:
Eleanor Kowalewich
Respondent
(Plaintiff)
AND:
Donald Kowalewich
Appellant
(Defendant)

Before: The Honourable Madam Justice Prowse
The Honourable Madam Justice Huddart
The Honourable Mr. Justice Mackenzie

On appeal from: An order of the Supreme Court of British Columbia, entered April 14, 2000.

REASONS FOR JUDGMENT OF THE COURT:

[1] This appeal addresses the interpretation and application of section 18 of the Federal Child Support Guidelines where a paying parent is the sole or controlling shareholder of a private corporation.

[2] Section 18(1) provides that where a spouse is a shareholder, director, or officer of a corporation and the court is of the opinion that the spouse's annual income as

determined under section 16 does not
fairly reflect all the money available to the spouse for the payment of
child support, the court may
determine the spouse's annual income by including all or part of the pre-
tax income of the corporation.

[3] The appellant contends that corporate retained earnings should not be
included where an accountant
testifies that cash is held for business contingencies. We reject that
broad proposition. The primary
objective of the Guidelines is to ensure that children benefit from the
financial means of both parents.
A paying parent cannot insulate income from child support obligations by
choosing to retain earnings within
a controlled corporation unless a legitimate, pressing corporate business
necessity is clearly proven.

[4] As Madam Justice Prowse observed, the onus rests squarely upon the
shareholder spouse to demonstrate
that corporate pre-tax income is required for ongoing business maintenance
or capital expenditure rather
than personal tax deferral or accumulation. Where that onus is not met, the
court will attribute corporate
retained income to the parent.

[5] Having reviewed the balance sheets of the appellant's enterprise, the
chambers judge committed no error
in attributing corporate income to the appellant for the purpose of fixing
fair guideline support.

[6] The appeal is accordingly dismissed with costs to the respondent.

SUPREME COURT OF BRITISH COLUMBIA â Victoria No. FL-260482

"The Honourable Madam Justice Prowse"

"The Honourable Madam Justice Huddart"

"The Honourable Mr. Justice Mackenzie"